Lecture Notes 0

Developments in the Money Market and Treasury-CB relations in Turkey

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Money Market and Treasury-CB relations in Turkey

- In the first half of 1980’s, The Central Bank (CB) of Republic of Turkey realized that it was not able to control monetary developments in the market

Why?

  - CB was experiencing difficulties in getting signals from the banking system about whether monetary policy stance was tight or loose
  - It could not get feedback from the market about whether market rates were relatively high or low
  - Banking system was segmented
  - Public banks were reluctant to lend to private sector mostly for political fears
  - In the private sector, competition and rivalry between industrial groups (Koç vs. Sabancı) resulted in some reluctance to deal with each other directly

⇨ As a result, there was no interbank market in Turkey. CB was the only counterparty accepted by everyone

What was achieved by CB in the 80's?

- CB initiated a comprehensive program to restructure the institutional basis of the financial system, concerning the money markets and the Treasury-Central Bank relations

- Four major institutional changes were introduced
  - Auctioning system for government securities
  - Creation of Interbank Money Market
  - Introduction of Open Market Operations (OMO)
  - Establishment of an Interbank Foreign Exchange Market

- Sequencing of these developments is important

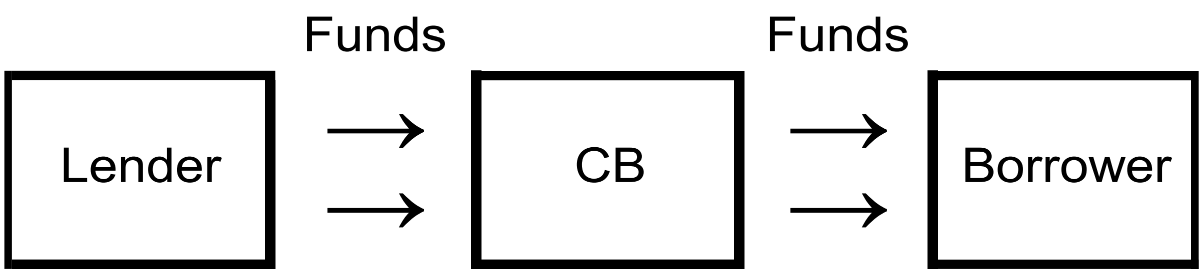
Auctioning

- First, the auctioning of government securities started in May 1985

  Why?

- The primary objective was to mobilize temporary excess liquidity in the banking system and to satisfy the short-term liquidity needs and CBRT was the only accepted counterparty to everybody

- CB was in a role of intermediary between lender and borrower



'Blind brokerage' system

- CB had to act as a ‘blind broker’ i.e. the CB was taking credit risk

Auctioning (cont'd)

- According to Turkish Law, CB could not lend without collateral.
- Auctioning of government securities was established first
- In doing so, the Treasury would be able to finance itself directly from the market
- Main purpose of auction is two-fold:
  - To provide liquid money instruments acceptable to CB (i.e. government securities)
  - To relax constraints imposed on the CB by the government deficits

Auctioning (cont'd)

- It first started on a weekly basis and it was an instant success
- The Treasury, in need of funds, was directly getting those funds from the market
- Interest rates were market driven/determined

Auctioning (cont'd)

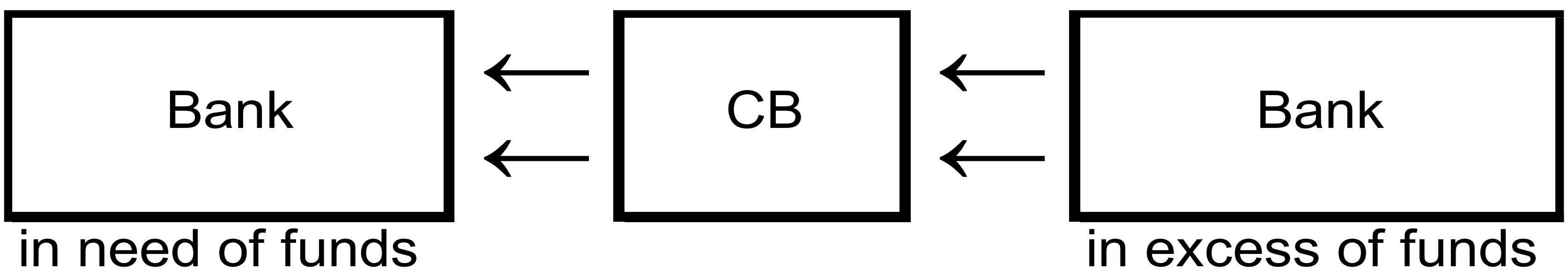
- By the end of 1986, 'programmed auction system' was introduced. The Treasury started announcing the maturity of government securities on a rotating basis with maturities of 12, 9, 6 and 3 months every Wednesday

  ⇨ Programmed auction system enabled the banks to improve their cash and liquidity management

- Increasingly, market rates started to reflect,
  - Market expectations of inflation rates
  - Treasury's liquidity needs
  - Availability of short term funding
- Ultimate goal was achieved: CB had a reference market-determined interest rate

Interbank Money Market

- Started in April 1986
- The objective was to stabilize the demand for money and to reduce the need for resources from the CB
- Initially CB acted as a ‘blind broker’



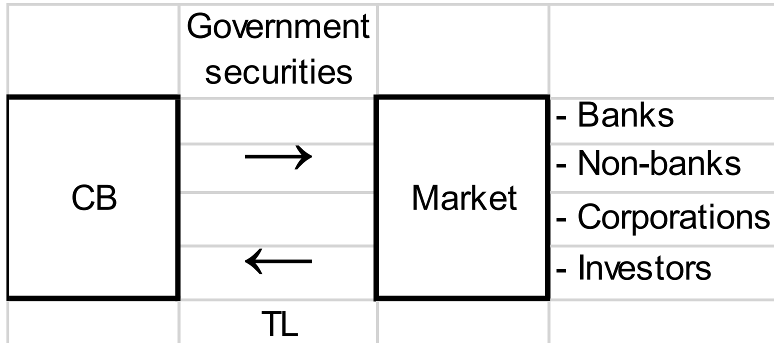
- ‘Free balances’ were exchanged

Open Market Operations

- Started in February 1987
- The objective was to regulate banks' liquidity and the market interest rate
- Two types:
  - Outright purchases and sales of government securities
  - Repurchase agreements

Open Market Operations (cont'd)

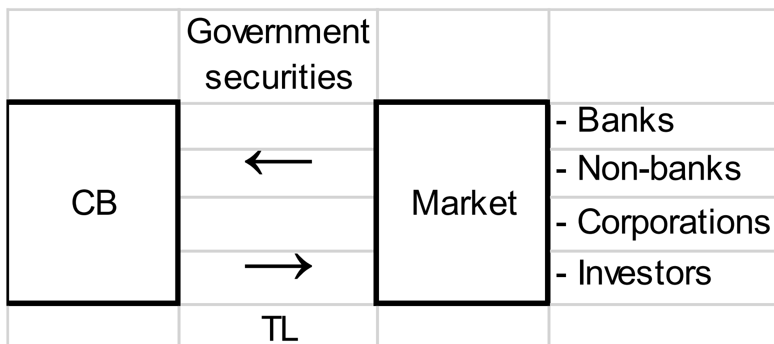
Outright sale:



- Less money will be available in the market and interest rates will go up

⇨ CB absorbs excess liquidity permanently

Outright purchase:



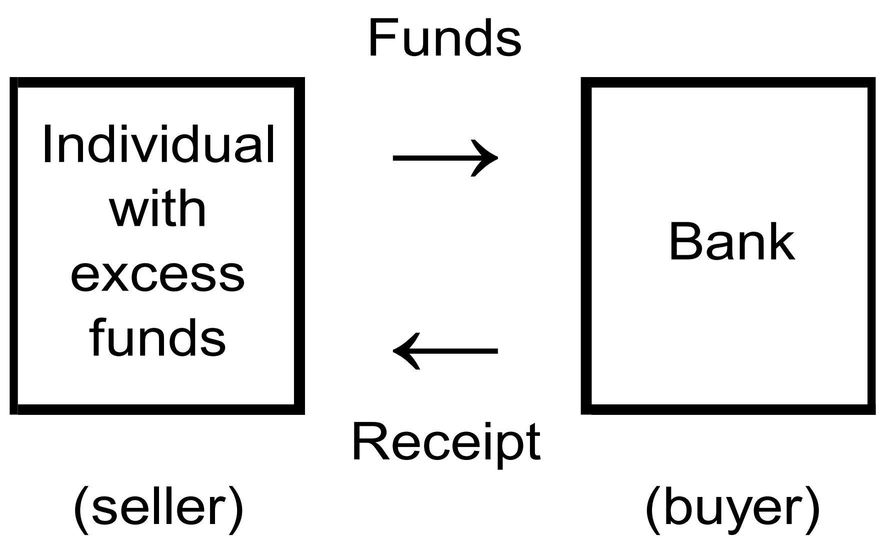
- More money will be available in the market and interest rates will go down

⇨ CB expands credit when it permanently becomes tight

Open Market Operations (cont'd)

Repurchase Agreement (Repo):

- The sale of securities on a temporary basis, involving the seller's agreement to buy them back from the buyer after a specified time



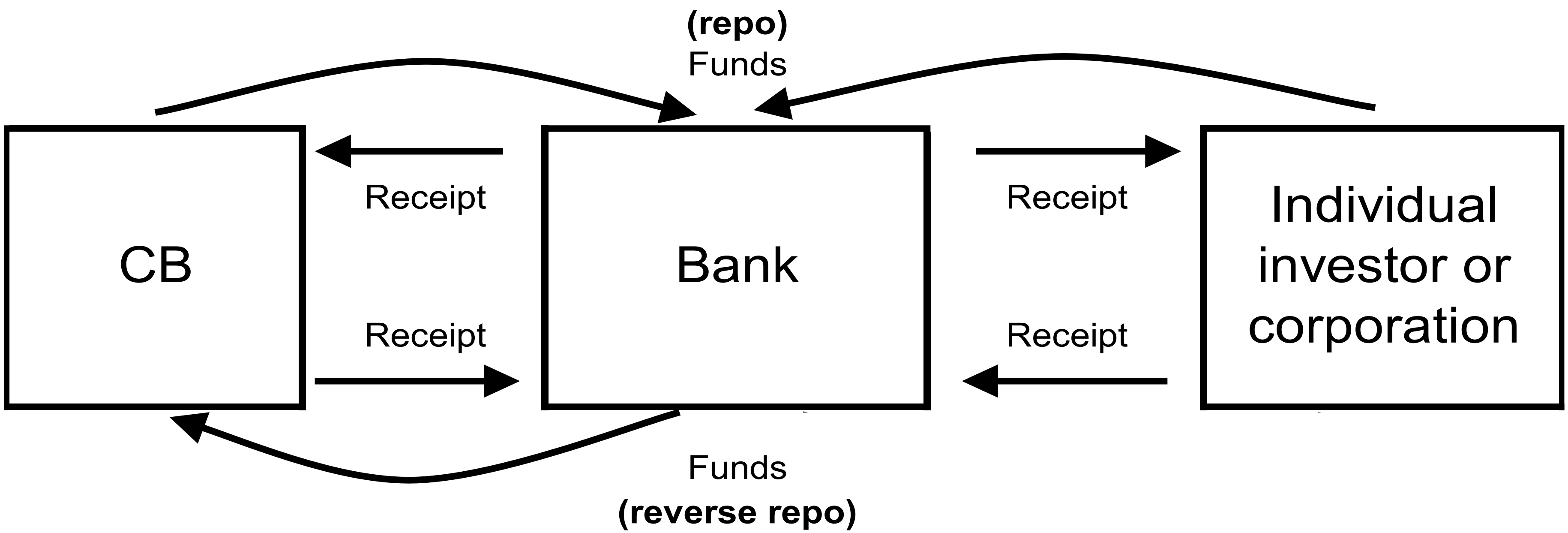
- The seller agrees to buy securities back from the buyer

Open Market Operations (cont'd)

Note: CB has to acquire securities from the secondary market as it cannot purchase securities directly from the Treasury according to the regulation

Primary (new issues)	vs.	secondary market (purchase and sale of already issued securities)

Open Market Operations (cont'd)



Rule of thumb:

- If money goes into Banking System and not the CB, it is a 'repo'

Open Market Operations (cont’d)

Outright purchase

Domestic assets	
Government sec. ↑	Central bank money ↑

Outright sale

Domestic assets	
Government sec. ↓	Central bank money ↓

⇨ Two sides of B/S change

Repurchase agreement

	CB Money { currency issued ↑, OMO ↓ }

Reverse repo

	CB Money { currency issued ↓, OMO ↑ }

⇨
- One side of B/S changes
- Composition of CB Money changes

Open Market Operations (cont'd)

How to devise OMO:

1) When the CB thinks that money is tight, CB:

   a) buys securities permanently from the bank and injects TL into the market (permanent outright purchase)

   b) engages in Repurchase transaction

2) When CB wants to absorb excess liquidity, CB:

   a) sells government securities to banks (permanent outright sale)

   b) engages in Reverse Repo transaction